D91 Labs

FACE

State of alternative data in India

The lending use-case



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List of acronyms used in this report

AA: Account Aggregator

API: Application Programming Interface

BFSI: Banking, Financial Services and Insurance

BNPL: Buy Now Pay Later

DPD: Days Past Due

DPDP: Digital Personal Data Protection

EPFO: Employment Provident Fund Organisation

FACE: FinTech Association for Consumer Empowerment

FCRA: Foreign Contribution Regulation Act

FD: Fixed Deposit

FOIR: Fixed Obligation to Income Ratio

KYC: Know Your Customer

LSP: Loan Service Provider

NBFC: Non-Banking Financial Company

NPA: Non-Performing Asset

NTC: New-to-credit

OCEN: Open Credit Enablement Network

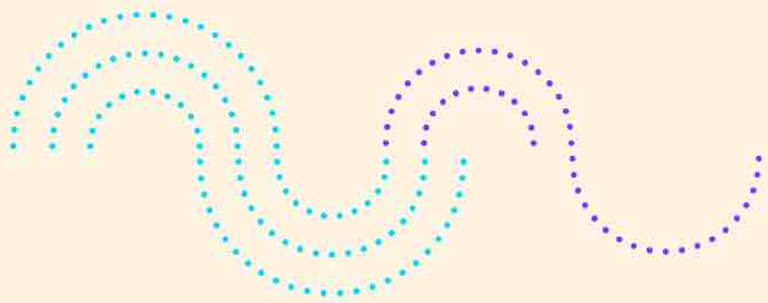
ONDC: Open Network For Digital Commerce

OTT: Over-the-top (services and platforms)

SRO: Self Regulatory Organisation

TSP: Technical Service Providers

ULI: Unified Lending Interface



Overcoming data gaps in credit underwriting

World Bank data suggests that India has a wide credit gap with about 37% of adults (that's about 500 million people) who are still not covered by any of the credit bureaus making them credit invisible. Credit scores are a rich source of data for lenders and provide important indicators like Days Past Due (DPD), active loans, and trade lines based on data across multiple loans, credit cards, EMI etc. The scores are often used as a "cut-off" by the traditional lenders to either not lend or lend expensive loans to cover the risk. It is an important point to note that credit scores do not predict the probability of default by an individual, rather put them in a pool that is expected to exhibit a certain type of behaviour. Typically for the lending business to thrive, the profits from good paying customers are offset by customers with risky payment behaviour. Over time increasing the digital footprint of the customers has enabled new-age technology-based lenders to assess the creditworthiness of the borrowers by leveraging alternative data to predict human behaviour.

Credit tiers based in CIBIL score range:

NTC	Subprime	Near Prime	Prime	Prime Plus	Super Prime
No Score	300-680	681-730	731-770	771-790	790+

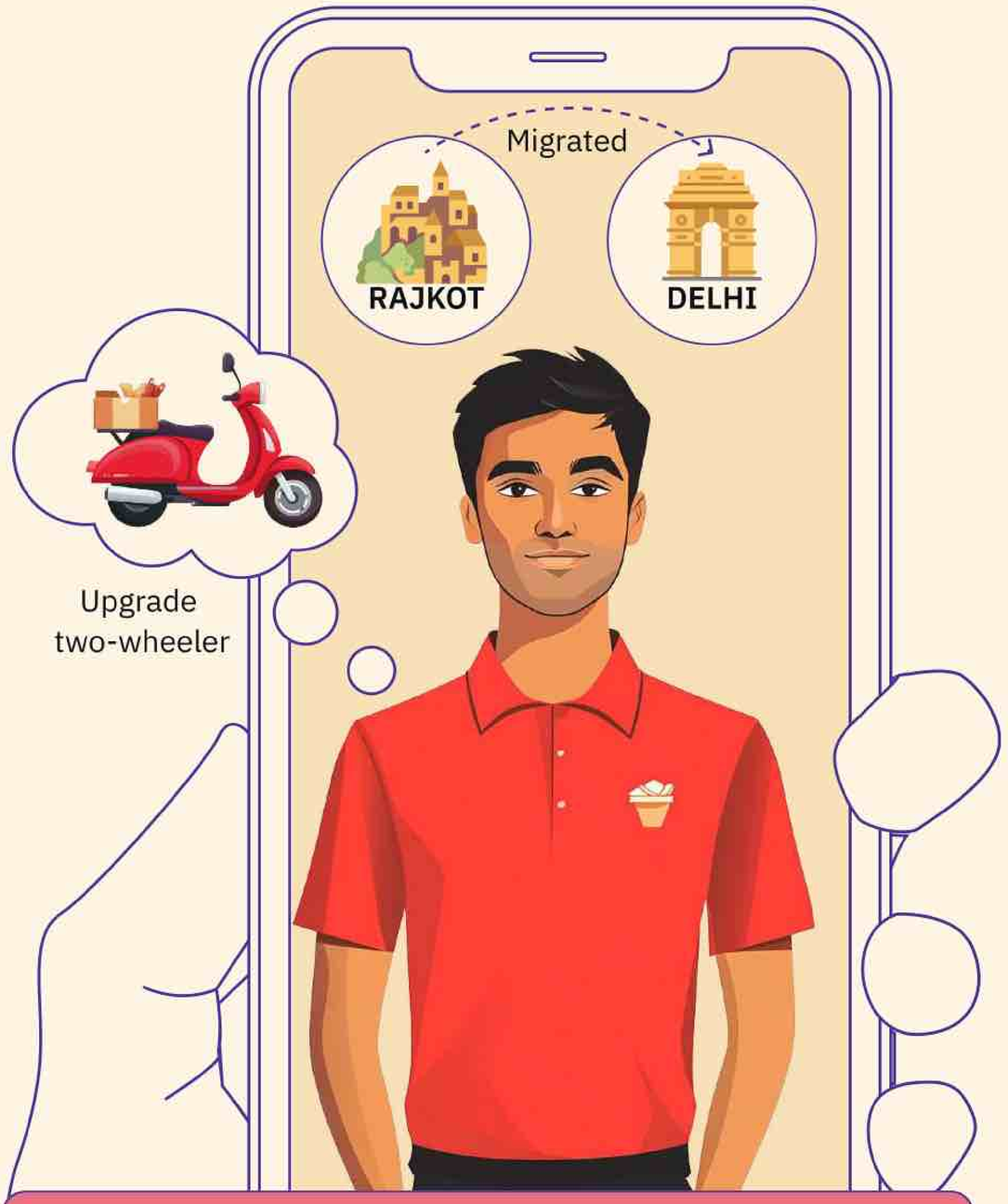
Note: Credit bureaus use complex algorithms to analyse credit history and assign scores, offering lenders a standardised measure of creditworthiness. However, scoring models can vary between bureaus and regions, with proprietary methods contributing to differences in scores.

In a recent report by FACE, titled FinTech Personal Loan (FPL), more than 66% of lending of FinTech-NBFCs is made to people in the medium-risk to high-risk customers, compared to 40% personal loan portfolio of other NBFCs and 27% of banks. FinTechs underwrite these customers by leveraging additional alternative data, creating a more complete picture of their financial behaviour. Alternative data complements bureau data. Even within alternative data, there are older data sets that were already used by lenders (bank statement data) and there are new-age digital data (OTT subscription, utility payments and many more.

In this study, we capture empirical evidence from 30 companies involved in lending, i.e. LSP, TSP, RegTech and NBFC FinTech on their usage of alternative data for underwriting loans (directly or indirectly). We also cover their expectation, concerns, challenges and readiness to adopt alternative data for lending use cases.

Source: https://data.worldbank.org/indicator/IC.CRD.PRVT.ZS?locations=IN
https://newsroom.transunioncibil.com/cibil-for-every-indian-report-indicates-improved-credit-awareness-among-consumers-across-india/

Imagine the story of Mr. Vinay Kumar...



Financial Aspect	Details
Income source	Online Food Delivery Partner
Bank account	Yes, receives digital payments
Loan history	No formal loan record
Fixed Deposit	Rs. 5,000 (matures in 3 years)
Insurance	LIC Policy (active)
Monthly expenses	Utility bills, mobile recharge
Credit score	No existing credit history

Traditional banks and NBFCs categorise Vinay as a new-to-credit (NTC)/ thin-file customer. Most financial institutions are reluctant to lend to the NTC because there's not enough data to validate their intent and willingness to pay. For a thin-file customer, traditional data like credit bureau reports and repayment histories are unavailable, and in many cases, the fixed obligation to income ratio (FOIR) is difficult to calculate if there's a tendency to withdraw cash for making expenses.

This is the credit market gap that can be filled with alternative data (such as location data, utility payments data, employment data, financial data (LIC policy and FD in this case), social profile, and expense behaviour) using secured consent-based account aggregator framework and third-party services. FinTech lenders using alternative data can validate the creditworthiness of Vinay despite him being a thin-file customer. Further, alternative data not only validates the creditworthiness, it helps the lenders to bring customised and suitable loan offers to Vinay based on his cash flows, spending patterns and repayment capacity.

The FPL Report shows that FinTech NBFCs loan portfolio is made of 66% young borrowers in the age group of 18-35 years thus enabling the dreams of people like Vinay.

What is alternative data?

Broadly speaking—

‘Alternative data refers to non-traditional sources of information used by financial services to gain insights into an individual’s financial behaviour. This data is not directly related to the credit conduct of the borrower. This can include data from phone usage, utility payments, e-commerce transactions, social media activity, employment history, app usage data and more. In some cases, SMS and email data can also be considered as alternative data.*

This data can be used alongside traditional sources like credit bureau reports and bank account statements to create a more comprehensive financial profile, enabling better decision-making, and enhancing risk assessment, especially for individuals who may have limited traditional financial data.’

The definition of alternative data is dynamic. It evolves as lending institutions adopt new data sources. What was once considered an ‘alternative’ can become mainstream over time. For example, cash flow analysis was once a less common underwriting method but is now becoming standard practice.

*It is to be noted that this list is not exhaustive and that additional typologies may be used as alternative data sources for credit underwriting.

Types of alternative data

Data source	Data contains	Usage in digital lending
Location Data	Geo-location tracking	Verifying borrower residency, mobility, and movement patterns
SMS Data*	Transaction alerts, expenses, financial interactions	Evaluating spending habits, repayment reliability, and financial behaviour
Payment Transactions Behaviour	Digital payment habits and consistency	Assessing reliability of repayments, financial discipline, and creditworthiness
Third-Party App Usage Data	External app usage patterns, lifestyle, spending habits	Inferring lifestyle choices, consumption patterns, and financial health
Utility Payments	History of utility bill payments (electricity, water, gas)	Checking consistency in regular payments, indicative of reliability
Other Device Data	Device type, model, usage patterns, device-linked identity	Identity verification, fraud detection, and behavioural insights

Types of alternative data

Data source	Data contains	Usage in digital lending
Behavioural Biometrics	Typing speed, swipe patterns, interaction behaviour	Authentication, fraud prevention, and borrower behaviour profiling
Social Media Data	Data from social platforms	Assessing borrower credibility, lifestyle stability, and risk profiling
Email Data	Email interactions and communication patterns	Gaining insights into borrower's reliability and financial behaviour
Data on Investments	Investment holdings and behaviours	Gauging financial stability, risk appetite, and repayment capacity

*Transaction-specific SMSes provide real-time, authentic insights into a customers financial activity, especially useful in case of thin-file customers. Direct from source, these messages are credible in providing insights on genuine behaviour, cash flows and spending patterns. SMS access is collected with clear and prominent consent via lending apps. Access to SMS data is through well-defined customer-consent framework as customers can opt in, opt out, or limit and revoke access anytime using their device settings. Moreover, it reduces friction by eliminating the need to upload multiple documents, share passwords, or grant access to emails. Industry has significantly matured to only access and process relevant transactional data and not infringe on customer privacy by accessing private SMSes, call logs, or contacts list, ensuring customer privacy and control.

A study by Oliver Wyman well articulates the characteristics of a good source of alternative data



Coverage

A new data source will ideally have broad and consistent coverage.



Specificity

A data source should ideally contain specific data elements that provide part of a full picture of the borrower (e.g. time and late payments over a significant period).



Accuracy and timeliness

Data should be accurate frequently updated and regularly verified.



Predictive power (‘signal’)

Data should contain information relevant to the behaviour that you’re trying to predict.



Orthogonality

The data source should be additive to traditional bureau data; this means that using it will improve the predictive accuracy of any new score by improving the signal-to-noise ratio.



Regulatory compliance

Data sources must comply with existing regulations for consumer credit.

Where does alternative data stand globally

The global alternative data market size is estimated at USD 9 billion in 2024 and the Banking Financial Services and Insurance (BFSI) sector led with a 15% market share. In India, alternative lending in this region is expected to grow by 26.3% on an annual basis. The alternative lending market in the country will increase from US$7.53 billion in 2023 to reach US$18.24 billion by 2028.

In the US and UK, the adoption of alternative data for lending personal loans has been steadily increasing. In the US, lenders are using this data to expand access to the “credit invisible” (thin-file) market. The alternative data being used are rental payments, utility bills, and Buy Now Pay Later (BNPL) transaction history. In the UK, the emphasis is more on open banking, where APIs enable lenders to access real-time financial data like spending patterns and cash inflows.

Benefits: Incorporating alternative data has expanded credit access to nearly 49 million Americans, improving loan approval rates by 15.5% more applications than before. Alternative data has also enabled better risk assessment and allowed for more competitive loan pricing. In the UK, it has improved financial inclusion.

ASPECT	UNITED STATES	UNITED KINGDOM	INDIA
Key Data Sources	Rental payments, utilities, BNPL, cash flow	Open banking (income/ spending), rental data	Cash flow data, mobile data, utility payment data
Regulatory Approach	FCRA-regulated alternative data	Open banking regulations	Account Aggregator, United Lending Interface, ONDC
Primary Users	Banks, fintechs	Banks, neobanks	Fintechs, Banks
Key Impact	Expanded access for 49M credit invisibles	Enhanced financial inclusion	Reduced NPA, expand serviceable market

SOURCE

1. https://www.precedenceresearch.com/alternative-data-market
2. https://www.businesswire.com/news/home/20241029770287/en/India-Alternative-Lending-Business-Report-2024-Market-to-Grow-by-26.3-to-Reach-9.51-Billion-this-Year---Key-Developments-and-Investment-Opportunities-to-2028---ResearchAndMarkets.com
3. https://plaid.com/resources/lending/alternative-credit-data/

Growing momentum in Indian policy for alternative data and digital lending

1. Digital footprints for MSME credit underwriting

The Union Budget introduced the ME Card scheme to enable fully digital lending for micro-enterprises. The scheme enables micro enterprises to access funds quickly based on digital turnover data, without requiring collateral or detailed financial statements. It also helps track spending and promote credit discipline among users.

> ***Entire process (sanction, approval, issuance and disbursement) shall be digital and digital footprints will form the basis of assessment.*** **—Union Budget 2025–26, Page 15**

This reflects a major policy support for and recognition towards cash-flow-based lending, where alternate data like GST returns, UPI flows, and POS activity serve as proxies for financial credibility and open up opportunities for lenders.

2. Alternative credit score for rural and self-help group borrowers

To improve credit access in rural areas, the Budget announced a new Grameen Credit Score framework for SHG members and rural borrowers. This model will incorporate wider sources of credit information, tailored to the realities of informal and low-documentation incomes.

> ***Grameen credit scores may incorporate additional factors like cyclical income, education, employment history, rent and utility payments and even spending habits to provide a more nuanced view of an individual's creditworthiness.*** **—Union Budget 2025–26, Page 19**

This initiative opens the door for alternative data to be used in building new scoring systems for underserved segments.

SOURCE
https://financialservices.gov.in/beta/sites/default/files/2025-02/Budget.pdf

3. Digital infrastructure enablers: OCEN, ULI, and DPI stack

The Economic Survey recognised OCEN and the Unified Lending Interface (ULI) as key enablers for real-time, data-rich lending. These frameworks are part of India's broader DPI stack which includes UPI, Aadhaar e-KYC, and Account Aggregator.

> ***OCEN and ULI provide access to real-time information on the risk profiles of debtors.***

> *The next big step in the coming years is likely to be towards Artificial Intelligence/ Machine Learning (AI/ML), Decentralised Finance, Internet of Things (IoT), etc., which have a vast potential to disrupt the digital payments ecosystem. Further, the vision is for India to evolve as a 'FinTech nation' with the highest number of FinTech firms and the highest FinTech adoption rate by incumbents fuelled by digital public infrastructure. An approach should be evolved for common user data, e.g. KYC, across Regulators. In the medium term, efforts should be made to move towards data-based lending instead of judgment-based lending, especially for small businesses. In this regard, there is a need for continuous review to identify regulatory gaps/overlaps and benchmark them with the best global practices. Financial sector firms—public or privately owned—must become customer-centric. Without that, most quantitative metrics will remain elusive.*
>
> **Pg 83, Economic Survey 2023-24**
>
> https://www.indiabudget.gov.in/budget2024-25/economicsurvey/index.php

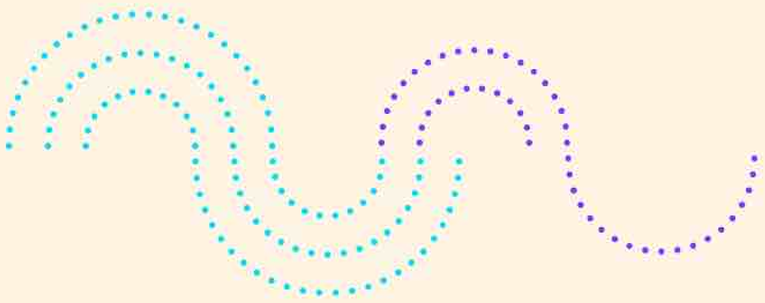
> *Digital credit can be a powerful agent for sustainable and inclusive growth by empowering individuals and firms to cultivate economic opportunities.*
>
> **Pg 59, Economic Survey 2023-24**
>
> https://www.indiabudget.gov.in/budget2024-25/economicsurvey/index.php

SOURCE
https://www.indiabudget.gov.in/budget2024-25/economicsurvey/index.php

Product innovation and regulatory developments that encourage the use of alternative data for credit underwriting

In 2024, the Reserve Bank of India (RBI) launched the initiative Unified Lending Interface (ULI). The launch of ULI suggests a strong impetus to use alternative data as part of the lender's business rule engine which enables the access to credit to a wider segment of borrowers. ULI is a technology platform built to facilitate easy access to authenticated data from various sources, through standardised APIs to which all lenders can connect seamlessly through a 'plug and play' model. This platform uses critical financial, non-financial and alternate data for lenders including digitised state land records, milk pouring data from milk federations, satellite data and property search services for underwriting NTC customers.

In addition to expanding the data-based underwriting, the RBI published the draft model risk management framework, a step towards creating guardrails for the lenders to build accurate, complete, robust, well-tested credit underwriting models using financial and alternative non-financial datasets.



Why did we conduct this study?

To take a step beyond theoretical understanding, we wanted to survey and report on the use of alternative data in loan underwriting by financial institutions in India.

This research explored how alternative data improves credit decision-making, fraud mitigation, and expansion into new market segments while identifying the challenges faced by the FinTech Sector in adopting these practices.

The 5 objectives of this study were to find out the following—

- **Data categories** used by financial institutions to **underwrite** borrowers
- **Expectations** from using alternative data for underwriting loans
- **Concerns** regarding using alternative data sources
- **Benefits** is expanding beyond traditional data for loan underwriting
- **Challenges** face by lenders in embracing alternative data
- **Readiness** to adopt alternative data for loan underwriting and monitoring

Note—This study is based on a sample of 30 companies involved in lending and therefore not entirely representative of the digital lending sector.

Highlights of the study

1

Traditional data sources such as credit bureau reports, bank statements and salary slips continue to remain essential for credit underwriting. However, alternative data complements traditional data. It allows FinTech lenders to evaluate customers beyond conventional sources and offer suitable credit, customized to their risk profile.

2

In our study, 83% of the survey respondents complemented traditional bank data with alternative data for credit underwriting.

3

The top four sources of data points used for underwriting retail personal loans are bureau reports, income verification documents (bank statements), fixed obligation to income ratio and location data.

4

However, some lenders actively use additional variables such as Location Data, SMS Data, Employment Verification Documents, Payment transaction behaviour, Third-Party App Usage Data and Utility Payments.

5

Risk assessment and fraud detection features in the top four reasons to use alternative data.

6

For FinTech lenders—regulatory compliance, maturity and data accuracy are some of the key concerns with adopting alternative data sources.

7

Increasing adoption of Account Aggregator framework, sophisticated banking APIs, investment in high-quality data science teams and availability of third-party data services; can together move the needle of the adoption of alternative data for credit underwriting.

8

In addition, the implementation of the Digital Personal Data Protection Rules will allow customers to provide informed consent to their data and this will ensure that lenders have a binding legal framework that allows them to use much more data than currently available.

Methodology

The data in this report is a result of an online survey conducted with the members of an RBI-recognised Self Regulatory Organisation—FACE that comprised of NBFCs (FinTech and non-FinTech), Technical Service Providers (TSP), Loan service providers (LSP), RegTech and NBFC account aggregators. Various members from different FinTech domains gave us a rich perspective on the use of alternative data for credit underwriting. This study uses convenience sampling of FACE member companies.

Details of the respondent sample for the study

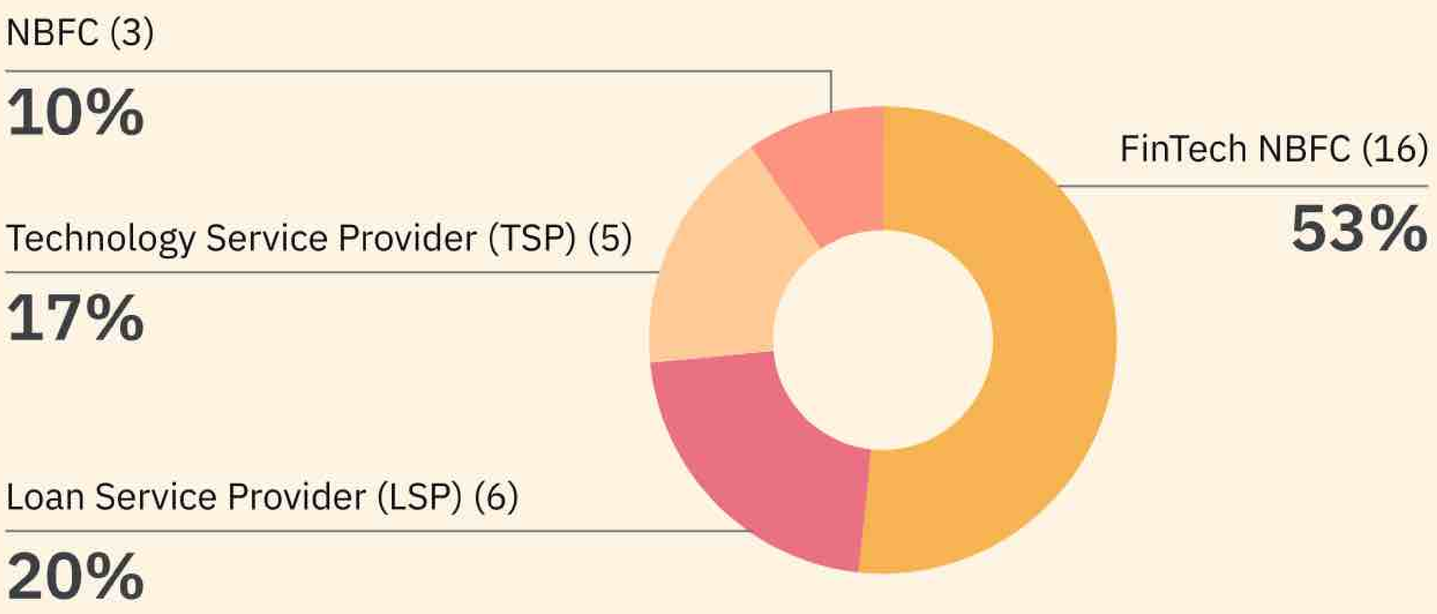
- The respondents were 30 member companies of the FinTech Association of Consumer Empowerment (FACE)
- They had a high level of hands-on involvement in the end-to-end loan approval process, in either personal, business or other retail loans.

Respondent profile

Who were our respondents?

FinTech NBFCs represent over half of our survey respondents, with the remaining comprising Loan Service Providers (LSPs), Technology Service Providers (TSPs), and traditional NBFCs.

CATEGORY OF SURVEY RESPONDENTS



TYPE OF LENDING PRODUCTS OFFERED



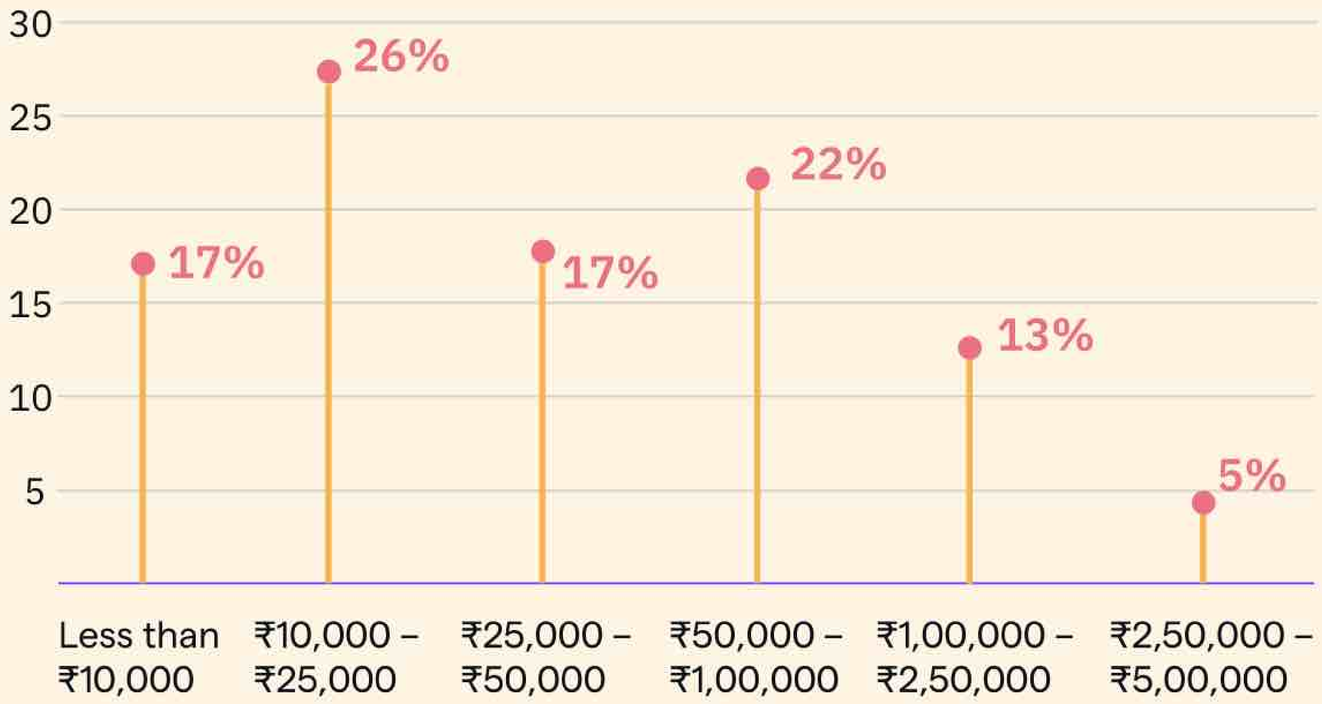
These organizations predominantly offered unsecured personal loans and one-third of them also offered business loans.

Details related to the respondent's lending profile

- Nearly 44% of loans disbursed by respondents have ticket sizes below ₹25,000, with the most common range being ₹10,000–₹25,000 (26%).
- In terms of monthly volumes, 55% of respondents process fewer than 50,000 loans per month, while 27% handle more than 1,00,000 loans monthly, indicating significant variation in operational scale.'
- While our sample is not fully representative of the broader FinTech industry, findings from the FinTech Personal Loan Report indicate that 39% of the loan portfolio of FinTech NBFCs comprises ticket sizes below ₹25,000.

As per the FPL Report , FinTech NBFCs disbursed 76% of the total personal loan volume in Q3 FY 24-25.

AVERAGE TICKET SIZE OF LOANS DISBURSED

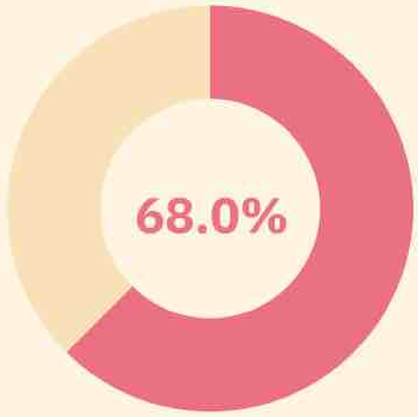


VOLUME OF LOAN DISBURSED



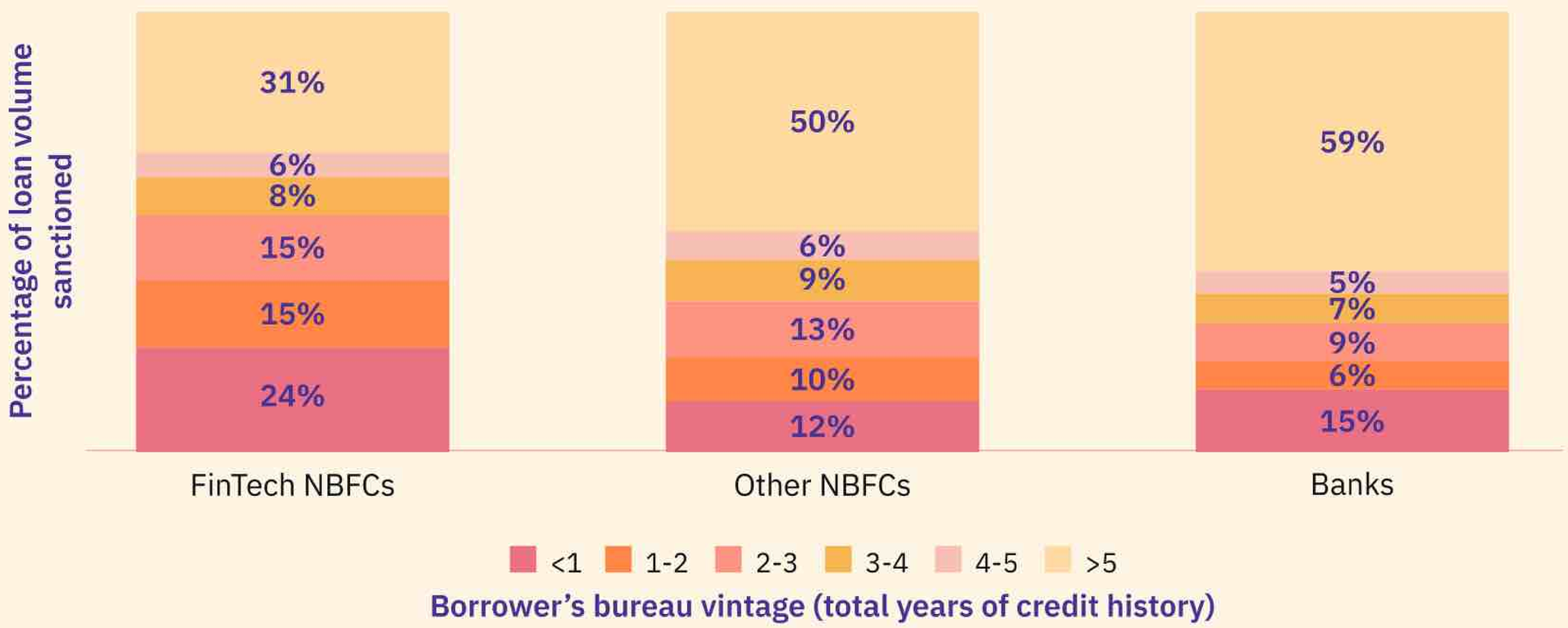
To whom do our respondents lend to?

- FinTechs are unique in their ability to offer and serve end-to-end digital loan journeys for small value/short-tenure loans using alternative data, particularly for riskier customers. This in turn improves their credit profile over time.
- 68% of our survey respondents lend to near-prime, subprime, and New-to-Credit (NTC) customers, highlighting broader market outreach.
- According to the FPL report, FinTech NBFCs have also seen year-on-year growth of 30% and 27% respectively in loan distribution across Tier III zones and to female borrowers.
- FinTech NBFCs lend about 1/4th of their total loans to borrowers with less than an year of bureau vintage, compared to only 12% by other NBFCs and 15% by banks.There is a growing willingness to serve segments traditionally considered riskier, particularly among FinTech NBFCs



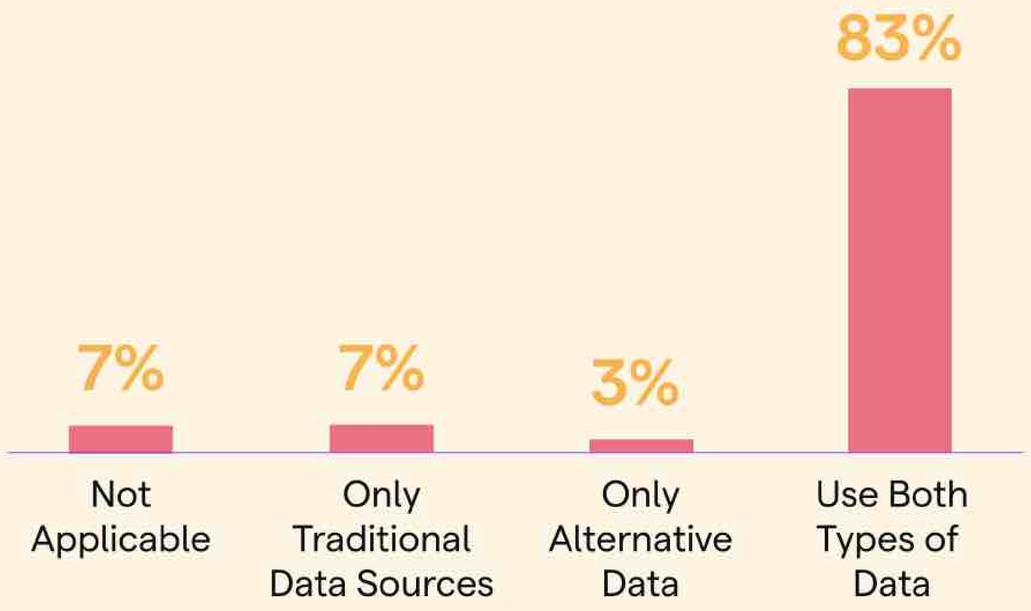
Percentage of Respondents Lending to Near Prime, Sub-Prime and NTC borrowers

LOAN VOLUME SANCTIONED TO BORROWERS WITH VARYING BUREAU VINTAGE, FY 24-25 (UNTIL DEC 2024)

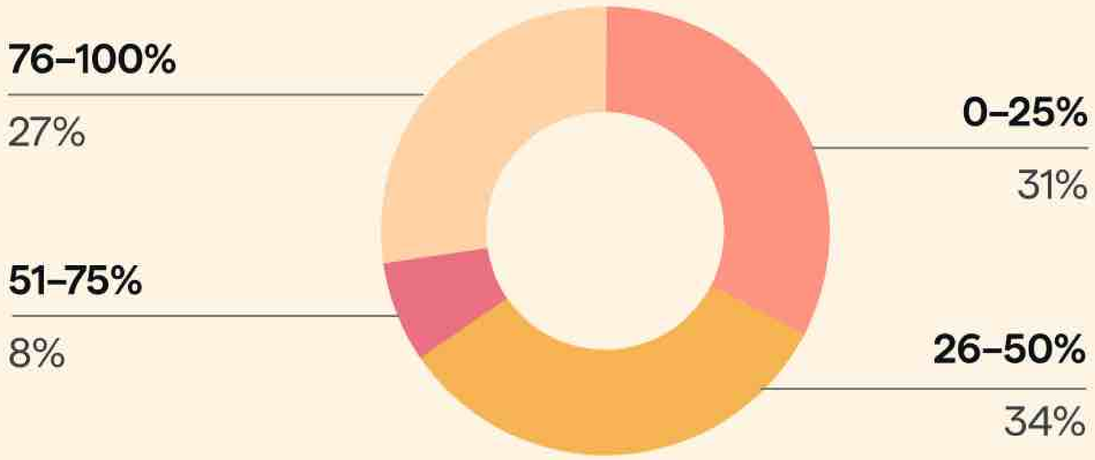


But lenders are embracing alternative data

TYPE OF DATA USED FOR UNDERWRITING



SHARE OF LOAN PORTFOLIO USING ALTERNATE DATA



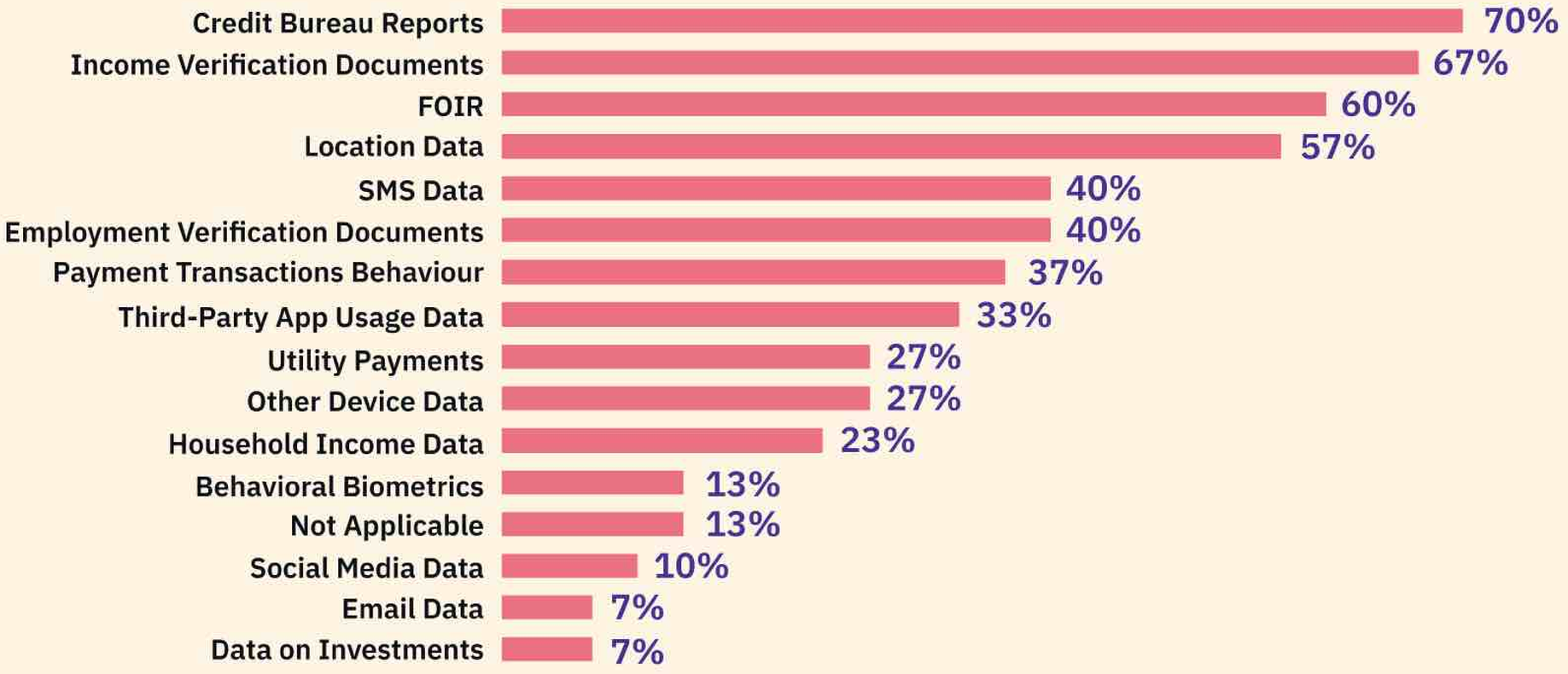
One of the key findings of this study is that almost 84% of the lenders (NBFCs and FinTech) used both types of data - traditional and alternative data to underwrite their borrowers.

In terms of loan portfolios, around 35% of our respondents reported using alternative data for up to 50% of loan portfolios.

> *We need to re-imagine and reassess our approach to lending and credit assessment, expanding the boundaries of who "deserves" credit by using data to analyse character and intent. Data aggregated by bureaus are limited and often do not provide accurate analysis of the payment intentions of an individual.*
>
> *Alternative data here provides a much-needed 360-degree view of an individual's capacity and capability, not to mention their character.*
>
> **FACE member**

Current landscape of alternative data usage for loan underwriting

SOURCES OF DATA USED FOR UNDERWRITING RETAIL LOANS



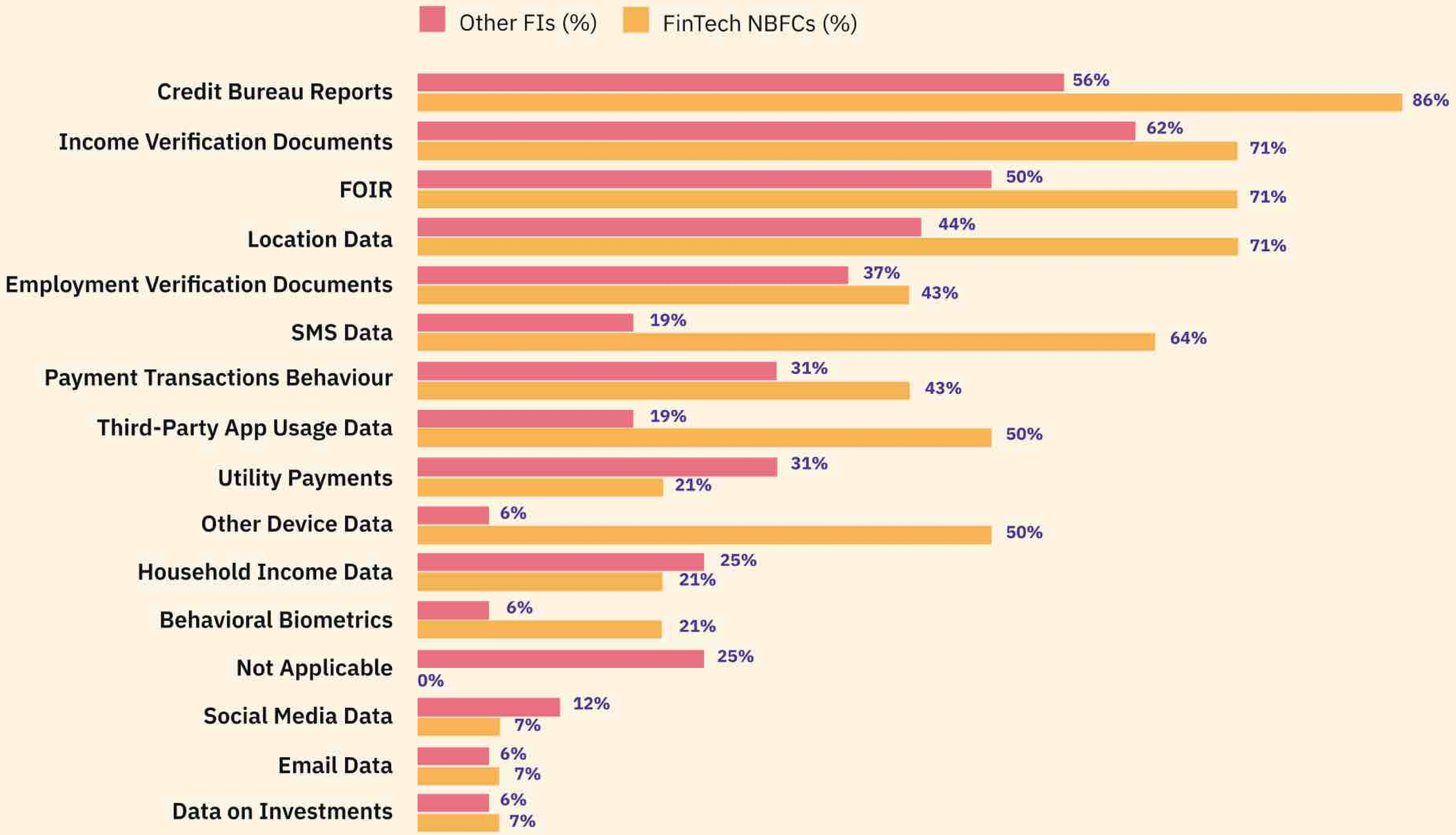
When it comes to gathering financial data for use in the underwriting process of retail loans, our study shows that traditional data for credit underwriting continues to be the mainstay and alternative data may be used in conjunction for creating a holistic risk profile of customers.

However, some lenders actively use additional variables such as Location Data, SMS Data, Employment Verification Documents, Payment transaction behaviour, Third-Party App Usage Data and Utility Payments.

> *For lenders who offer small ticket loans (below Rs. 50,000), income verification holds higher weightage than credit bureau reports.*

A comparison of data used by FinTech NBFCs versus other financial institutions to underwrite retail loans

SOURCES OF DATA USED FOR UNDERWRITING RETAIL LOANS (FINTECHS VS OTHERS)



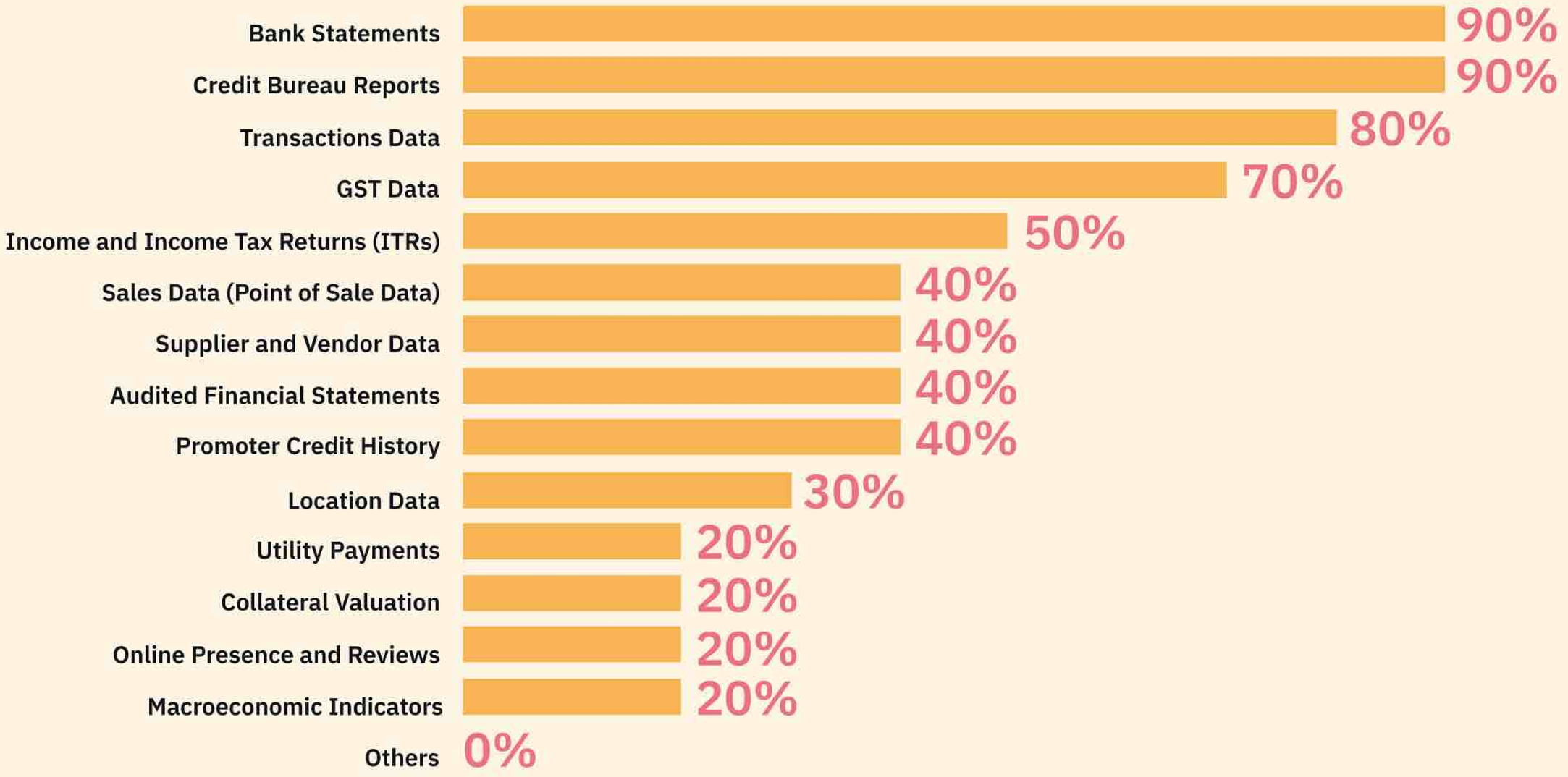
Fintech NBFCs V/S others

The general use of data in the loan underwriting process was higher among FinTechs NBFCs than non-FinTech institutions. Although the use of credit bureau data in loan underwriting was leading the charts, alternative data was also heavily used by FinTech companies to underwrite loans.

For the purpose of analysis with a small sample size, we have broadly taken two categories as FinTech NBFCs (comprise of NBFCs having both digital and physical footprint+only digital NBFCs) and Non-NBFCs that include LSPs and TSPs that are service providers to the lenders.

There is scope of alternative data for underwriting business loans

SOURCES OF DATA USED FOR UNDERWRITING BUSINESS LOANS



The prowess of alternative data is to build a holistic business rule engine and credit decision framework that can reduce the pool of risky borrowers for any lender.

In our study, alternative data was commonly used in the risk categorisation stage, followed by loan approval/ rejection stage and also for conducting identity and KYC verification.

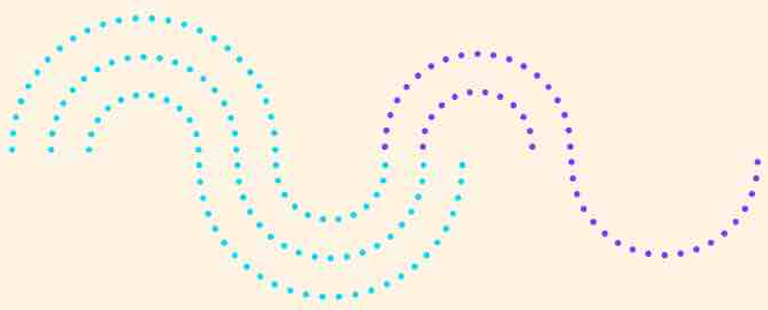
Lenders cited fraud detection as the fourth most common purpose for using alternative data. This could be any form of fraud such as identity fraud, document fraud (PDF fraud) or third-party fraud.

Benefits of using alternative data for credit underwriting

- Alternative data can provide valuable, deeper insights into borrower behaviour, spending patterns, and repayment habits. For lenders, this creates a better top-of-the-funnel inflow of potential borrowers.

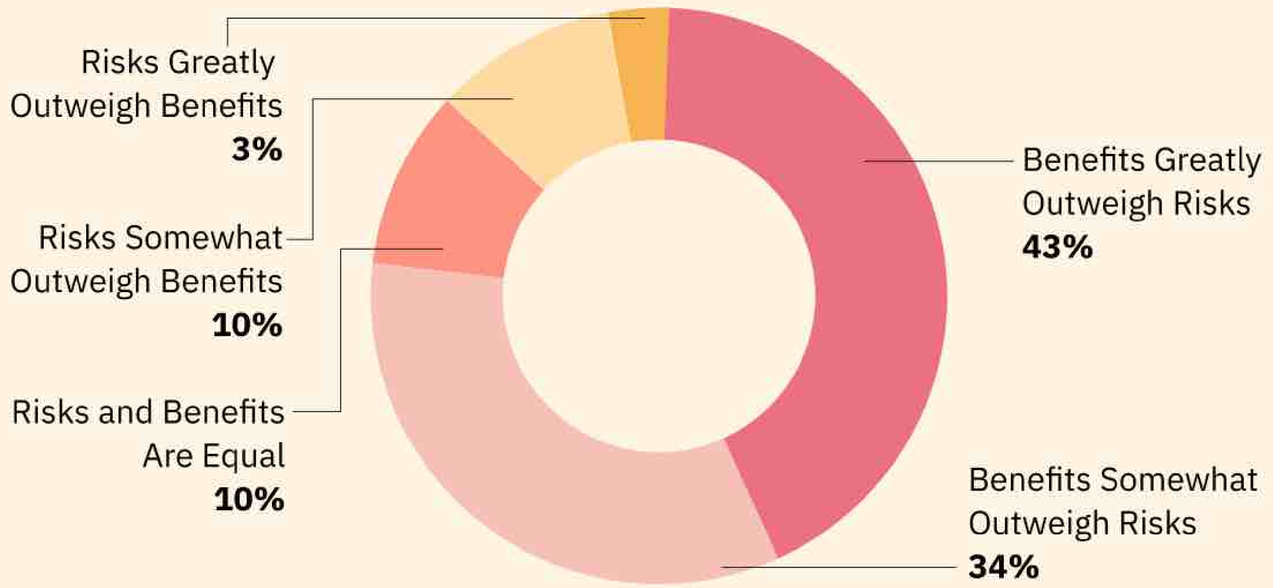
- Leveraging additional information promotes competition to provide tailored lending products to various customer cohorts.

- With high-quality, standardised and complete data made available through the account aggregator framework—the cost of credit underwriting, monitoring and collection can be reduced substantially. The framework also ensures access to validated data from multiple sources and offers better compliance.



Lenders, LSPs and TSPs are overwhelmingly positive about the role of alternative data in the loan process. When asked to specify the data they desired the most, lenders pointed to those based on fraud detection data, FOIR with enhanced accuracy, cash flow data as well as list of suspicious transactions.

PERCEIVED RISK VS BENEFITS OF USING ALTERNATIVE DATA



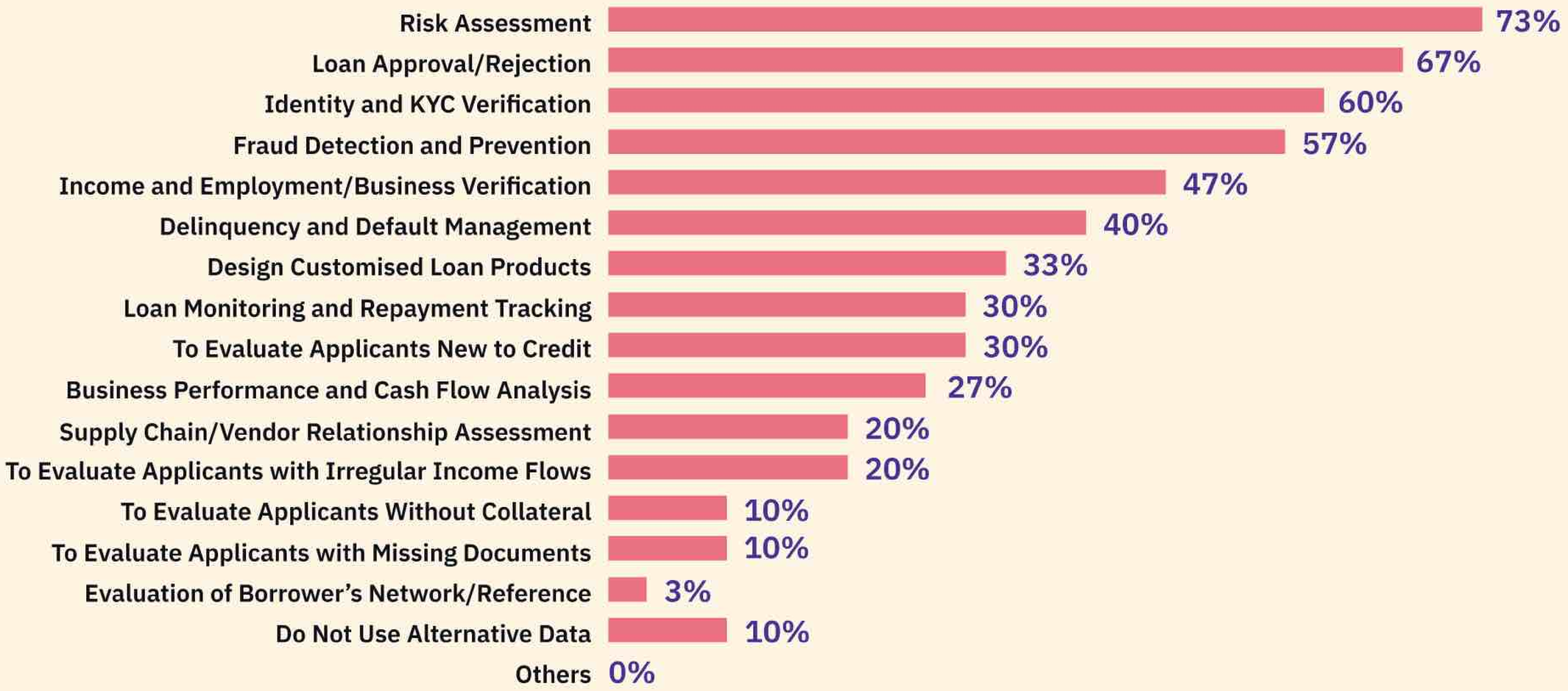
INSTRUMENTAL DATA POINTS IDENTIFIED FOR IMPROVING UNDERWRITING AND RISK ASSESSMENT



> *The reliability of alternative data sources currently is a challenge. It would be really helpful to establish a way to standardise sources such as Account Aggregators for Current and OD accounts and have access to reliable (non-sensitive) data.*
>
> **Survey respondent**

Fraud detection features in the top 4 reasons to use alternative data

PURPOSE OF USING ALTERNATIVE DATA IN LENDING



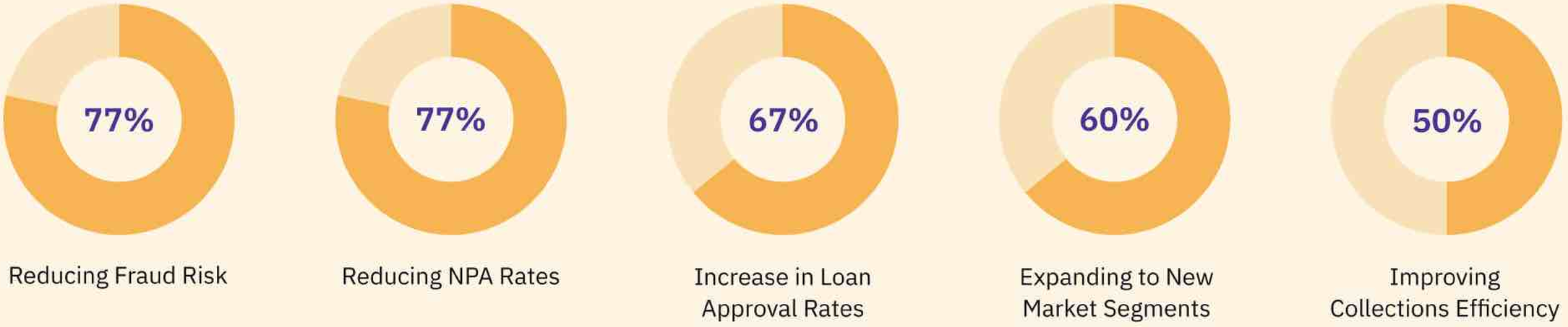
Alternative data strengthens a lender's ability to build a holistic credit-decision framework, significantly reducing the risk exposure from potential borrowers.

In our study, respondents most commonly utilised alternative data for risk categorisation—the process of assessing and bucketing borrower risk levels using supplementary data points beyond traditional credit scoring. This was closely followed by its application in the loan approval/rejection stage and identity/KYC verification processes.

Lenders also emphasized fraud detection and prevention as a key purpose for leveraging alternative data. Common modalities for fraud detection include video-based checks, facial recognition during onboarding, geolocation tracking within lending apps, behavioural biometrics (e.g., typing patterns, device usage), and document authenticity verification to counter identity fraud, document manipulation (PDF fraud), and third-party fraud.

Alternative data usage in fraud prevention

EXPECTED STRATEGIC OUTCOME USING ALTERNATIVE DATA



- Reducing fraud risk (76.7%) and NPA rates (76.7%) are the top priorities across FinTech NBFCs and other Financial institutions.
- Fraud Detection Data (63.3%) remains the most significant factor across all respondents.

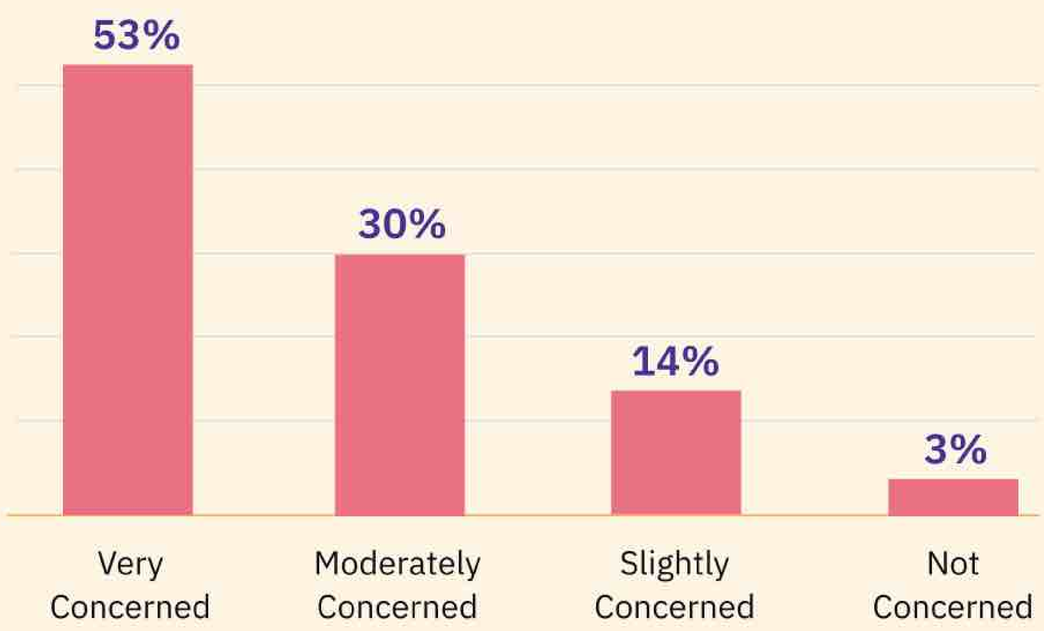
In digital loan journeys, where the entire application is created online and there is no physical verification of the customers, fraud detection is a paramount first consideration. Increasingly, sophisticated loan application frauds, using manipulated/theft KYC IDs have become an issue. To resolve these issues, lenders will have to evolve their fraud detection techniques to identify such fraudulent applications.

Challenges in adopting alternative data for loan underwriting

CHALLENGES IN USING ALTERNATIVE DATA



REGULATORY AND COMPLIANCE CONCERNS IN USING ALT DATA

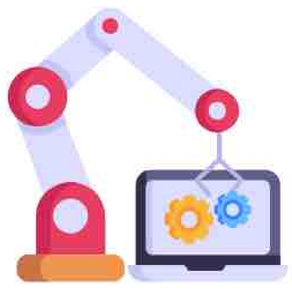


- In India, innovation in lending often comes with cautious regulatory oversight. Respondents highlighted **regulatory scrutiny and compliance risks (67%)**, and concerns around **data reliability and stability (67%)**, as their top issues.
- Respondents indicated that valid, accurate, and regularly updated data sources, and effective model validation are critical factors influencing their adoption of alternative data.
- Implementation of the draft Digital Personal Data Protection laws could mitigate some privacy-related concerns, facilitating broader use of alternative data.

Lenders were also strongly concerned about regulatory compliance when using semi-structured to unstructured alt data for underwriting customers. This also holds them back from servicing thin-file customers.

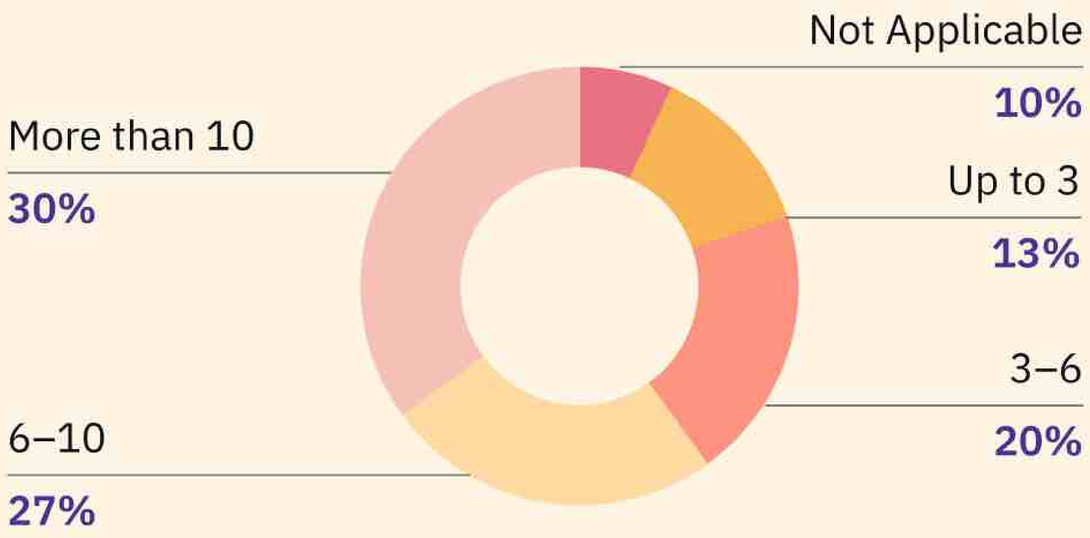
Lenders’ readiness to use alternative data

In the past few years, Data-driven finance has moved away from just collecting and analysing information. Many of the processes in underwriting and loan monitoring have been partially or fully automated. With lean teams of competent data engineers and data scientists, along with the Account aggregators framework and third-party service providers, the credit market is ready to move the needle on using alternative lending models such as cash-flow-based lending and marketplace lending.



Almost **96%** **of the respondents** have a certain degree of automation to conduct credit underwriting and monitoring.

SIZE OF INTERNAL RISK AND ANALYTIC STEAM



USING AA TO FETCH



THIRD PARTY SERVICES UTILISED FOR ALTERNATIVE DATA



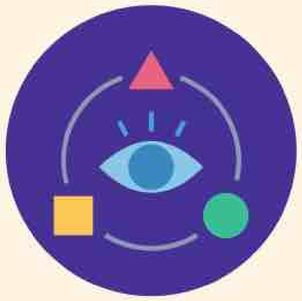
60% of our respondents used third-party service providers for alternative data

Respondent inputs: Benefits and Opportunities of alternative data in digital lending



Benefits: Enhancing credit eligibility and underwriting

- Streamlines digital loan eligibility with minimal documentation
- Enhances creditworthiness evaluation and fraud detection through behavioural analysis and KYC
- Essential for New-to-Credit (NTC) customers, especially in high-risk scenarios



Expanding credit assessment perspectives

- Credit assessments need to go beyond traditional bank statements
- Should include behavioural and intent-based data
- Offers a 360-degree view of capacity, capability, and character



Financial institutions and credit bureau integration

- Credit bureaus currently provide a limited and narrow analysis of creditworthiness.
- Formalising alternative data usage at the bureau level would enhance credit assessments.
- Financial institutions need to accept and integrate alternative data models for them to be effective.

Respondent inputs: Challenges and considerations for implementing alternative data



Challenges with reliability and standardisation

- The reliability of alternative data sources is a challenge.
- A standardised approach (e.g., via Account Aggregators) is needed for structured and reliable data collection.
- Pure-play alternative data works well for short-term predictions but may not be as effective for long-term assessments.



Regulatory and privacy considerations

- Adherence to data protection laws is critical to ensure customer rights and privacy.
- Companies using alternative data must ensure compliance with financial and personal data protection regulations.



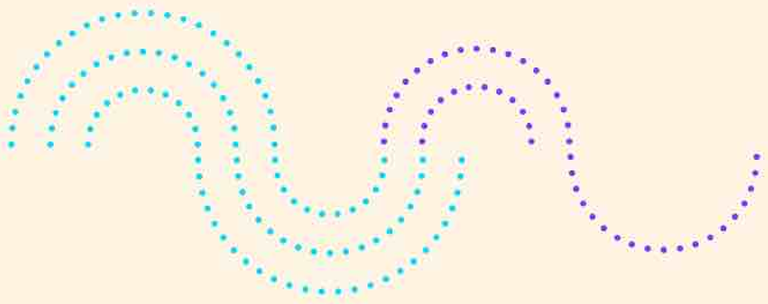
Concerns on alternative data providers

- The role of alternative data providers also acting as Loan Service Providers (LSPs) needs to be examined to avoid potential conflicts of interest.
- There are concerns about the reliability of counterparties supplying such data.

Expert views

- *The key challenges with using alternative data for credit underwriting are coverage, lack of standardisation and unorganised data.*
- *Alternative data (eg. WiFi and IP address details) is useful for both fraud detection and improving credit risk assessment as well as for expanding credit access.*
- *Multiple datasets could be used to create a complete picture of the borrower such as EPFO data (for verifying employment status), payment gateway data (for understanding payment modes and preferences), marketplace data (to understand borrowers' purchase and return patterns), cab and flight aggregator (for trip data) and many more such digital data points. These can assist in creating scores for borrowers indicating their affluence and risk categories. However, currently, these firms are not structured to monetise data or have the organised database or the requisite APIs to share the data with lenders securely and reliably.*

Credit Risk Expert (ex Capital One, PayU, Axio)



Recommendations and conclusions

Policy and regulatory enablement

- Promote standardised alternative data collection frameworks through prevalent systems in India such as Account Aggregator and make it accessible for secured entities and not necessarily regulated entities only. Encourage regulatory clarity and sandbox experimentation for alternative data usage.
- Leverage proposed consent managers under the DPDP framework to enable access to a broader range of data beyond financial information permitted under the current AA framework.

Infrastructure and data ecosystem development

- The Unified Lending Interface (ULI) can serve as an integrated platform to incorporate nuanced alternative data, such as milk pouring records, enabling better credit access for underserved user groups.
- API Setu's efforts to bridge vast repository of interoperable government data can unlock new sources of alternative data for lending, enabling more precise credit assessments for underserved segments.
- Enhance data quality through partnerships with reliable data providers.

Lender centric innovations and best practices

- Build capacity within lenders to assess and integrate alternative data effectively.
- Adopt responsible lending practices and ensure privacy and data protection compliance.
- Scale successful pilots of cash-flow-based lending.
- Use machine learning models to analyse unstructured datasets and create AI-driven credit scoring models.
- Provide tailored credit solutions for high-risk customers while enabling gradual credit profile rebuilding.

Snippets from the respondents on the use of alternative data for lending

Alternative data enhances the eligibility criteria of customers for digital loans without causing much inconvenience regarding uploading various documents or filling in too much information during the customer journey. The data, if collected from a reliable source, not only helps to evaluate credit worthiness of the customers buts also improves fraud detection by analysing online behaviour and enhances KYC compliances. For new to-credit (NTC) customers, the need for alternative data is directly proportional to the perceived risk of the customer – i.e., the higher the risk, the higher the need to leverage alternative data for better underwriting. However, adherence to the laws on protecting the personal/ financial information of the customer has a vital role to play and the Company needs to ensure due protection of customer rights and privacy while utilizing such alternate data of the customers.

FinTech NBFC

Alternative data usage should be formalised at the bureau end also.

Loan Service Provider

Pure-play alternate data sources work well for short-term predictions but may not hold up for the longer term.

FinTech NBFC

FinTech Association for Consumer Empowerment (FACE) is an RBI-recognised Self-Regulatory Organisation in the FinTech sector (SRO-FT), dedicated to fostering a responsible and consumer-centric FinTech ecosystem in India. Established as a non-profit in 2020, FACE brings together FinTech companies, regulators, and other stakeholders to promote transparency, data privacy, and consumer protection. By engaging with the RBI, government bodies, and industry players, FACE aims to advance fair practices and empower consumers, ensuring the FinTech sector's sustainable growth and positive societal impact.

D91 Labs is a research initiative by Setu (part of Pine Labs) that conducts cutting-edge research on FinTech, financial innovations and financial inclusion. To stay updated on our latest research, please subscribe to our **blog**.

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We are grateful for the time and effort of all our survey respondents who have shared their views and opinions with us. We would also like to thank Amrita Sarma and other experts who have shared their views on the subject matter with us.

THANK YOU